

Calendar Line 3

Case Name: Ngo v. Intuitive Surgical, Inc., et al. (Class Action)
Case No.: 22CV397297

The above-entitled action comes on for hearing before the Honorable Theodore C. Zayner on April 9, 2025, at 1:30 p.m. in Department 19. The court now issues its tentative ruling as follows:

I. Introduction

This is a putative class and representative action arising from alleged wage and hour violations. On April 25, 2022, plaintiff Vinh Ngo (“Plaintiff”) began this action by filing a class action complaint against defendants Intuitive Surgical, Inc., Intuitive Surgical Operations, Inc., and Ian Martin, Inc.

On July 11, 2022, Plaintiff filed the operative first amended class action complaint (“FAC”), asserting the following causes of action: (1) Failure to Pay Minimum Wages; (2) Failure to Pay Overtime Wages; (3) Failure to Provide Meal Periods; (4) Failure to Permit Rest Breaks; (5) Failure to Provide Accurate Itemized Wage Statements; (6) Failure to Pay Wages Timely During Employment; (7) Failure to Pay Wages Due Upon Separation of Employment; (8) Violation of Business and Professions Code §§ 17200, et seq.; and (9) Enforcement of Labor Code §§ 2698, et seq. (“PAGA”).

On December 20, 2022, Defendant Ian Martin PBC dba Raise Recruiting (erroneously sued as Ian Martin, Inc.) (“Ian Martin”) filed a motion for an order compelling Plaintiff to arbitrate his individual claims, dismissing his class claims and representative PAGA claim, and staying any claims not dismissed pending resolution of the individual arbitration. Defendants Intuitive Surgical, Inc. and Intuitive Surgical Operations, Inc. filed notice of joinder of Ian Martin’s motion. On April 11, 2023, the court issued an order granting the request for dismissal of Individual and Class Action Claims Without Prejudice. Consequently, only Plaintiff’s PAGA claim remained pending. On June 15, 2023, the court issued an order denying the motion to compel arbitration, finding that the entirety of Plaintiff’s PAGA claims is expressly excluded from the parties’ arbitration agreement.

The parties have reached a settlement as to Plaintiff's PAGA claims, and Plaintiff now moves for approval of the settlement. The motion is unopposed.

II. Legal Standard for PAGA Settlement Approval

Labor Code section 2699, subdivision (l)(2) provides that "[t]he superior court shall review and approve any settlement of any civil action filed pursuant to" PAGA. The court's review "ensur[es] that any negotiated resolution is fair to those affected." (*Williams v. Superior Court* (2017) 3 Cal.5th 531, 549.) Seventy-five percent of any penalties recovered under PAGA go to the Labor and Workforce Development Agency (LWDA), leaving the remaining twenty-five percent for the aggrieved employees. (*Iskanian v. CLS Transportation Los Angeles, LLC* (2014) 59 Cal.4th 348, 380, overruled on other grounds by *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. 639.)

Like its review of class action settlements, the Court must "determine independently whether a PAGA settlement is fair and reasonable," to protect "the interests of the public and the LWDA in the enforcement of state labor laws." (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76-77.) It must make this assessment "in view of PAGA's purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws." (*Id.* at p. 77; see also *Haralson v. U.S. Aviation Servs. Corp.* (N.D. Cal. 2019) 383 F. Supp. 3d 959, 971 ["when a PAGA claim is settled, the relief provided for under the PAGA [should] be genuine and meaningful, consistent with the underlying purpose of the statute to benefit the public"], quoting LWDA guidance discussed in *O'Connor v. Uber Technologies, Inc.* (N.D. Cal. 2016) 201 F.Supp.3d 1110 (*O'Connor*).)

The settlement must be reasonable considering the potential verdict value. (See *O'Connor*, *supra*, 201 F.Supp.3d at p. 1135 [rejecting settlement of less than one percent of the potential verdict].) But a permissible settlement may be substantially discounted, given that courts often exercise their discretion to award PAGA penalties below the statutory maximum even where a claim succeeds at trial. (See *Viceral v. Mistras Group, Inc.* (N.D. Cal., Oct. 11, 2016, No. 15-cv-02198-EMC) 2016 WL 5907869, 2016 U.S. Dist. LEXIS 140759, at *20-24.)

III. Discussion

A. Provisions of the Settlement

Plaintiff moves for approval of a settlement made on behalf of Aggrieved Employees, defined individually as:

[A] California citizen assigned to work at Intuitive by Raise and classified as a non-exempt employee at any time during the PAGA Period [from May 7, 2021 through September 8, 2024].

(Declaration of Kristy R. Connolly (“Connolly Dec.”), Ex. 1 (“Agreement”), §§ 1.4, 1.21.)

Defendants will pay a gross settlement amount of \$249,000.³ (Agreement, § 3.1.) This amount includes attorney fees in the amount of \$83,000.00 (one-third of the gross settlement amount), litigation costs not to exceed \$20,000, a service award to Plaintiff of up to \$10,000, settlement administration costs of \$3,750. (*Id.* §§ 3.2.1-3.2.3.) The parties have agreed upon Phoenix Settlement Administrators (“Phoenix”) as the entity that will administer the settlement, and the court approves Phoenix as the settlement administrator. (*Id.* at § 3.2.3.) Of the remaining net settlement amount, 75 percent will be paid to the LWDA and 25 percent will be distributed to aggrieved employees based on the pro rata number of pay periods worked during the PAGA Period. (*Id.* at § 3.2.4.) Funds from checks that are not cashed within 180 days from the date of mailing will be sent to the Controller of the State of California to be held pursuant to the Unclaimed Property Law. (*Id.* at § 4.4.3.)

In exchange for the settlement, the aggrieved employees agree to release the Defendants and related people and entities from “all claims for PAGA penalties that were alleged, or reasonably could have been alleged, based on the facts stated in the Operative Complaint and the PAGA Notice, arising during the PAGA Period, including claims for (1) Failure to Pay Minimum Wages, (2) Failure to Pay Overtime Wages, (3) Failure to Provide Meal Periods, (4) Failure to Provide Rest Periods, (5) Failure to Provide Accurate Wage Statements, (6) Failure to Timely Pay All Wages During Employment and Due at Termination, and (7) Failure to Maintain Accurate and Complete Records.” (Agreement, §§ 1.26, 5.2) The

³ The Agreement defines “Defendants” as Intuitive Surgical, Inc., Intuitive Surgical Operations, Inc. (collectively, “Intuitive”), and Raise Group Public Benefit Corporation f/k/a Ian Martin, Inc. (“Raise”), “the defendants named in the action.” (Agreement, introduction and § 1.9.)

release provisions are appropriately tailored to the factual allegations of the operative pleading. (See *Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521, 538.)

B. Fairness of the Settlement

Plaintiff contends that the PAGA settlement is fair and reasonable. (Memorandum, pp. 6:22-9:6.) Plaintiff's counsel explains that the parties attended private mediation on July 10, 2024. (Connolly, ¶¶ 7-8.) Prior to mediation, Defendants informally produced data and documents necessary to calculate Defendants' alleged exposure, and the parties eventually finalized the settlement in September 2024. (*Ibid.*)

Plaintiff's counsel provides an analysis of Defendants' exposure, based on a group of approximately 230 employees over 4,130 pay periods. (*Id.* at ¶¶ 10-12.) Counsel calculated the potential exposure at the initial violation rate of \$100 per period, yielding \$413,000. (*Id.* at ¶ 12.) If the court were to stack different types of penalties for rest break violations, unpaid overtime, failure to pay wages on a weekly basis, and for wage statement penalties, Defendants' total estimated exposure comes to \$1,445,500. Defendants raised several arguments that could have defeated Plaintiff's claims, including its written policies authorizing duty-free rest breaks, an exemption applicable to wages paid to temporary employees who work for over 90 days for a client, and the ruling in *Naranjo v. Spectrum Security Services, Inc.* (2024) 5 Cal.5th 1056 that affects the amount of derivative wage statement penalties available when the employer acts in the good faith. (*Id.* at ¶ 13.)

The gross settlement amount of \$249,000 represents approximately 17.2 percent of Defendants' estimated maximum exposure. This recovery is within the general range of percentage recoveries that California courts have found to be reasonable. (See *Cavazos v. Salas Concrete, Inc.* (E.D. Cal., Feb 18, 2022, No. 1:19-cv-00062-DAD-EPG) 2022 U.S. Dist. LEXIS 30201, at *41-42 [citing cases indicating that a general range of 5 to 35 percent of the maximum potential exposure is reasonable].)

The court has reviewed Plaintiff's written submissions in support of the proposed settlement. Based on the circumstances of the case, including the strength of Plaintiff's case and potential defenses, the court finds the terms of the settlement to be fair. The settlement

provides for some recovery for each class member and eliminates the risk and expense of further litigation.

C. Incentive Award, Fees and Costs

As part of the settlement, Plaintiff seeks a service award in the amount of \$10,000. Although service awards are common in class actions, there is less authority regarding the propriety of service awards in PAGA cases. Nevertheless, a PAGA case is a representative action like a class action, and courts have recognized that an individual's willingness to act as a private attorney general may merit a service award. (See *Rodriguez v. West Publishing Corp.* (9th Cir. 2009) 563 F.3d 948, 959.)

Plaintiff has submitted a declaration detailing his participation in the action. He states that he spent approximately 45 hours on this case, including discussing the case with counsel, reviewing the complaint, gathering facts and documents for counsel, assisting in responding to written discovery, and providing information related to working conditions and Defendants' operations. (Declaration of Vinh Ngo, ¶¶ 4-13.) The court finds that a service award is appropriate and that the amount requested is reasonable. Therefore, the court approves the service award in the requested amount.

Plaintiff's counsel seeks attorney fees of \$83,000 (one-third of the maximum settlement amount). (Memorandum, p. 5:6; Agreement, § 3.2.2.) Counsel represents that her firm bills attorneys' time at rates ranging from \$600-\$950 per hour. However, neither Plaintiff's supporting memorandum nor Ms. Connolly's supporting declaration appear to include any information regarding the estimated lodestar incurred in reaching this settlement. Accordingly, the motion will be CONTINUED, and prior to the continued hearing, Plaintiff's counsel shall provide a supplemental declaration including a breakdown of the billing for this case, including time spent and hourly rates.

Plaintiff's counsel also requests litigation costs in the total amount of \$8,922.20 and provides evidence of incurred costs in that amount. (Connolley Decl., ¶¶ 29 and 33, Ex. 4.) This is well under the \$20,000 maximum for costs as set by the Agreement. Therefore, the

court finds the amount to be reasonable and approves the reimbursement of costs in the amount requested.

Plaintiff also asks for settlement administration costs in the amount of \$3,750. (Memorandum, p. 5:8-10; Agreement, § 3.2.3.) However, Plaintiff has not provided a declaration or other documentation from Phoenix, the proposed settlement administrator, verifying the settlement administration costs. Accordingly, prior to the continued hearing, Plaintiff's counsel shall provide a quote and/or declaration from the settlement administrator verifying the settlement administration costs.

IV. Conclusion

Accordingly, the motion for approval of PAGA settlement is CONTINUED to May 14, 2025 at 1:30 p.m. in Department 19. At least 10 court days prior to the continued hearing, Plaintiff's counsel shall provide a supplemental declaration indicating the lodestar information for this case (including hours billed and hourly rates), as well as documentation supporting the requested settlement administration costs.

Plaintiff shall prepare the order in accordance with California Rules of Court, rule 3.1312.

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Calendar Line 4

Case Name: Olivo v. Khanna Enterprises General Partner, et al. (Class Action)
Case No.: 22CV409085

The above-entitled action comes on for hearing before the Honorable Theodore C. Zayner on April 9, 2025, at 1:30 p.m. in Department 19. The court now issues its tentative ruling as follows:

I. Introduction

This is a putative class and representative action arising from alleged wage and hour violations. On December 27, 2022, plaintiff Andres Cedeno Olivo (“Plaintiff”) began this action by filing a class action complaint against defendants Khanna Enterprises II, Limited Partnership, Khanna Enterprises IV Limited Partnership, Khanna Enterprises VI, LP, and Khanna Enterprises, Limited (collectively, “Defendants”). On April 3, 2023, Plaintiff filed the operative first amended class action complaint, asserting various causes of action based on Labor Code violations, including a cause of action for civil penalties pursuant to the Private Attorneys General Act (“PAGA”).

On July 20, 2023, the court issued an order on the parties’ stipulation to dismiss Plaintiff’s class claims and submit Plaintiff’s individual PAGA claims to arbitration, pursuant to an arbitration agreement executed by Plaintiff prior to his employment. The order also stayed Plaintiff’s non-individual PAGA claims pending the outcome of the California Supreme Court’s decision in *Adolph v. Uber Technologies* (2023) 14 Cal.5th 1104.

The parties have reached a settlement, and Plaintiff now moves for preliminary approval of the settlement. The motion is unopposed.

II. Legal Standard for PAGA Settlement Approval

Labor Code section 2699, subdivision (1)(2) provides that “[t]he superior court shall review and approve any settlement of any civil action filed pursuant to” PAGA. The court’s review “ensur[es] that any negotiated resolution is fair to those affected.” (*Williams v. Superior Court* (2017) 3 Cal.5th 531, 549.) Seventy-five percent of any penalties recovered under PAGA